Barrow Quantity Surveyors
Cost management | Lender's monitoring | Tax depreciation

Initial Report
Riverbank Quarter

Lender's quantity surveyor: cost plan, program and cash flow review

Prepared for: Quillwood Credit Partners Pty Ltd
Builder: Ironbark Constructions Pty Ltd
Reference: BQS-LM-2026-0932
Date: 2 October 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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1. Summary of findings

Barrow Quantity Surveyors has been engaged by Quillwood Credit Partners as lender's quantity surveyor for Riverbank Quarter. This initial report reviews the project budget, the design and construct contract, the construction program and the funding cash flow before financial close.

We consider the total development cost of A$263.69M to be reasonable and complete. The fixed-price design and construct contract sum of A$214.6M equates to A$7,832 per square metre of gross floor area, which is within our benchmark range of A$7,400 to A$8,300 per square metre for high-rise residential towers in Greater Parramatta.

The construction contingency of A$8.58M (4.0% of the contract sum) is at the lower end of our 3% to 6% benchmark. We consider it adequate given the fixed-price contract, the completed geotechnical investigation and the issue of the Stage 1 construction certificate, but recommend it is not drawn for scope changes.

Project	Riverbank Quarter, 18-26 Charles Street, Parramatta NSW 2150
Builder	Ironbark Constructions Pty Ltd
Contract	Fixed-price lump sum design and construct (AS 4902-2000, amended)
Contract sum (ex GST)	A$214,600,000
Gross floor area	27,400 sqm
Construction period	26 months from 1 December 2026
Forecast practical completion	31 January 2029
Builder security	5% of the contract sum (A$10.73M) by bank guarantees
Liquidated damages	A$185,000 per week

2. Project budget

The project budget below has been reconciled to the executed contract, the consultant fee proposals and the developer's feasibility. Finance costs have been calculated from our cash flow forecast in Section 5.

Cost item	A$ (ex GST)	% of TDC
Land (as-is market value, contributed as equity)	A$21,500,000	8.2%
Design and construct contract	A$214,600,000	81.4%
Construction contingency (4.0%)	A$8,580,000	3.3%
Statutory, authority, leasing and marketing costs	A$3,470,000	1.3%
Facility establishment fee (1.00%)	A$1,850,000	0.7%
Capitalised interest	A$13,692,296	5.2%
Total development cost	**A$263,692,296**	**100.0%**

Table 1. Total development cost

Contract sum breakdown

Trade package	A$ (ex GST)	A$ per sqm GFA
Preliminaries and site establishment	A$19,310,000	A$705
Excavation, shoring and basement	A$24,680,000	A$901
Structure (podium and tower)	A$58,940,000	A$2,151
Facade and glazing	A$26,820,000	A$979
Building services (mechanical, electrical, hydraulic, fire)	A$37,550,000	A$1,370
Lifts	A$6,440,000	A$235
Internal finishes and fit-out	A$28,970,000	A$1,057
External works and landscaping	A$4,290,000	A$157
Design fees and builder's margin	A$7,600,000	A$277
Contract sum	**A$214,600,000**	**A$7,832**

Table 2. Design and construct contract sum by trade package

3. Contingency assessment

We have assessed the contingency against the residual risks retained by the developer under the contract. The principal retained risks are latent conditions below the basement excavation level, authority requirements for the foreshore interface and the Stage 2 construction certificate.

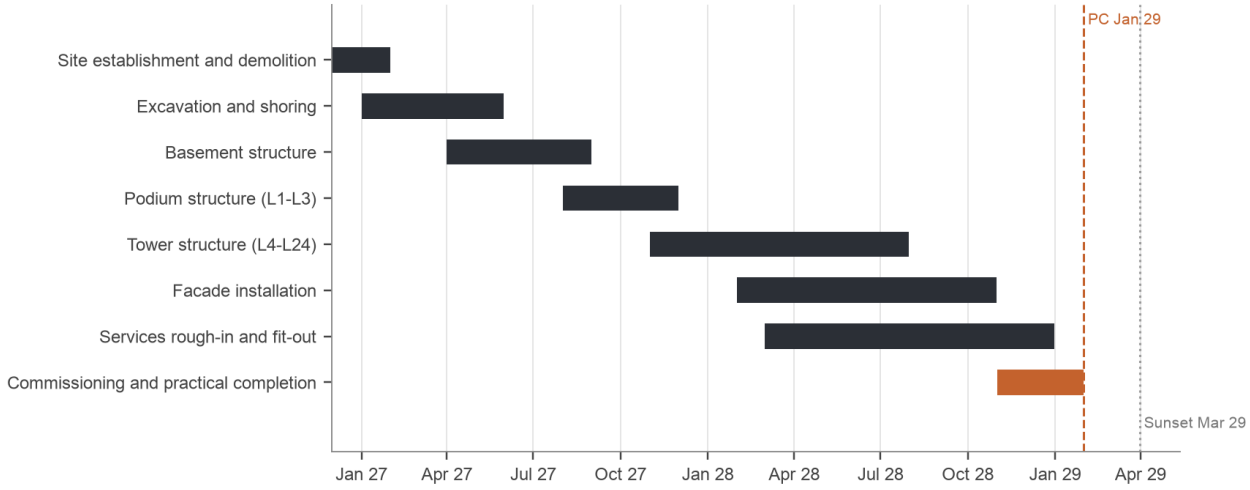
- Latent conditions: the geotechnical investigation (14 boreholes) found sandstone at 9 to 12 metres; the basement is founded above this level, reducing rock excavation risk.
- Foreshore interface: the City of Parramatta has approved the landscape design for the foreshore setback; minor works costs are included in the statutory budget.
- Stage 2 construction certificate: expected February 2027; the design is substantially complete (100% structural, 90% services) and no material redesign is anticipated.

On this basis we consider a contingency of 4.0% adequate. We recommend that any variation above A$250,000 requires lender approval and that unspent contingency is not released until practical completion.

4. Construction program

The builder's baseline program provides for a 26-month construction period from site establishment in December 2026 to practical completion on 31 January 2029. This leaves two months of float before the facility sunset date of 31 March 2029. In our view the program is achievable, although the tower structure cycle of eight working days per floor is ambitious and leaves little allowance for weather.

Figure 1. Construction program (builder's baseline, revision C)

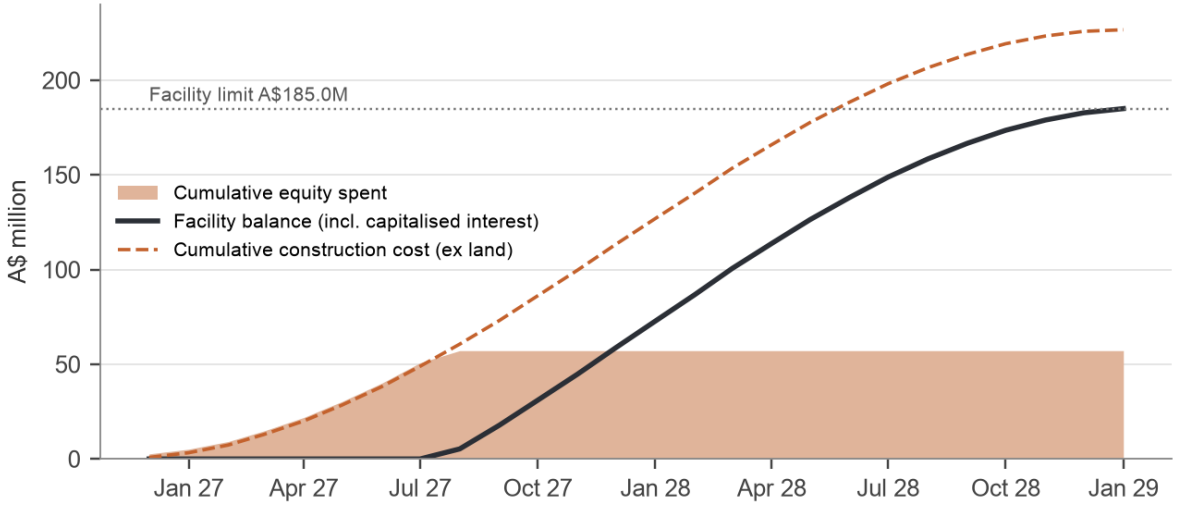


Source: Ironbark Constructions baseline program rev C, reviewed by Barrow Quantity Surveyors.

5. Cash flow and cost to complete

The developer will contribute cash equity of A$57.19M before the first facility drawdown, in addition to the land. Our forecast shows equity fully spent by month 9 (2027-08), after which the facility funds the remaining construction costs and capitalised interest. The facility reaches its limit of A$185.0M at practical completion.

Figure 2. Forecast funding profile: equity first, then facility



Source: Barrow Quantity Surveyors cash flow forecast; interest at BBSW 3.85% plus 5.25% margin.

At financial close, the undrawn facility plus undrawn equity exceeds our assessed cost to complete by 4%, giving a cost to complete ratio of 1.04 times. We will certify cost to complete with each monthly progress claim.

6. Contract review

The contract is based on AS 4902-2000 with amendments negotiated by the developer's lawyers. The key commercial terms are favourable to the principal and consistent with market practice for lender-funded projects.

Term	Position	Assessment
Contract form	AS 4902-2000 (design and construct), amended	Market standard
Price basis	Fixed lump sum; no rise and fall	Favourable
Latent conditions	Builder risk below 12 m RL, principal risk above	Acceptable
Liquidated damages	A$185,000 per week, capped at 10% of contract sum	Acceptable
Security	5% bank guarantees, reducing to 2.5% at PC	Market standard
Defects liability	12 months	Market standard
Financier's side deed	Agreed form; step-in rights for lender	Required CP

Table 3. Key contract terms

7. Recommendations

- Execute the financier's side deed with Ironbark Constructions before first drawdown.
- Require evidence that the full cash equity has been spent before the first facility drawdown.
- Monitor tower structure cycle times monthly; a sustained slip beyond 10 working days per floor would put the sunset date at risk.
- Retain unspent contingency until practical completion and require lender approval for variations over A$250,000.

Barrow Quantity Surveyors
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